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Sen. Hoffner; Reps. Burns, Gorman, Heffernan, Lambert,
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DELAWARE STATE SENATE
153rd GENERAL ASSEMBLY

SENATE BILL NO. 63

AN ACT TO AMEND TITLE 19 OF THE DELAWARE CODE RELATING TO LABOR.

BE IT ENACTED BY THE GENERAL ASSEMBLY OF THE STATE OF DELAWARE:

1 Section 1. Amend § 3503, Title 19 of the Delaware Code by making deletions as shown by strike through and
2 insertions as shown by underline as follows and redesignating accordingly:

3 § 3503. ~~Aets~~ Requirements; acts prohibited.

4 (e)(1) A person must not knowingly conspire with, aid and abet, assist, advise, or facilitate an employer with the
5 intent of violating the provisions of this chapter.

6 (2) Notwithstanding paragraph (e)(1) of this section, a general contractor is responsible for a subcontractor's
7 violations of this chapter.

8 Section 2. Amend § 3505, Title 19 of the Delaware Code by making deletions as shown by strike through and
9 insertions as shown by underline as follows:

10 § 3505. Penalties.

11 (j) A general contractor is jointly and severally liable for a subcontractor's penalties and restitution under this
12 section.

13 Section 3. Amend § 3510, Title 19 of the Delaware Code by making deletions as shown by strike through and
14 insertions as shown by underline as follows and redesignating accordingly:

15 § 3510. Provisions relating to contracts with public bodies.

16 (c) Subject to the process set forth in this section:

17 (1) An employer found to be in violation of this chapter more than twice in a 2-year period may be subject to
18 ~~debarment.~~ debarment under § 3505(h)(1) of this title.

19 (2) The Department shall file with the Office of Management and Budget, the Division of Revenue, the
20 Division of Unemployment Insurance, the Department of Insurance, the Office of Workers' Compensation, and the
21 Office of the Attorney General, a list of employers who are subject to debarment.

22 (3) A debarment under this section ~~shall be in effect against~~ applies to any successor corporation or business
23 entity ~~that~~ to which all of the following apply:

24 a. Has 1 or more of the same principals or officers as the employer against whom the debarment was
25 ~~imposed; and imposed.~~

26 b. Is engaged in the same or equivalent trade or activity.

27 Section 4. Amend § 3607, Title 19 of the Delaware Code by making deletions as shown by strike through and
28 insertions as shown by underline as follows:

29 § 3607. Denial, suspension, or revocation of certificate of registration.

30 (a) The Department may deny, suspend, or revoke a certificate of registration if the contractor or an officer,
31 partner, director, stockholder, or agent of the contractor does any of the following under this chapter:

32 (5) Contracts with or uses a subcontractor who is not registered under this chapter in the completion of a
33 ~~public works~~ contract.

SYNOPSIS

Chapter 35 of Title 19 prohibits an employer from improperly classifying an individual who is an employee as an independent contractor. Not only is this improper classification unfair to employees because it violates state and federal laws related to income tax withholding, unemployment insurance, wage laws, and workers' compensation, it is also unfair to contractors who comply with Chapter 35 and these other employment laws.

When employers who violate Chapter 35 are subcontractors who have not registered as contractors as required under Chapter 36 of Title 19, the Department of Labor (Department) has no recourse for enforcing compliance with Chapter 35. This Act makes a general contractor responsible for a subcontractor's compliance with Chapter 35 by making the general contractor jointly and severally liable for restitution and penalties assessed against the subcontractor. This Act also allows the Department to deny, suspend, or revoke the certificate of registration of a contractor who contracts with a subcontractor who has not registered on any project.

In addition, Section 3 of this Act makes technical corrections to conform existing law to the standards of the Delaware Legislative Drafting Manual.

Author: Senator Walsh